

ICICI Bank Limited

Banking & Financial Services · October 18, 2025

Target	—
CMP	—
Upside	—

ICICI Bank delivers steady Q2-FY26 earnings with 5.2% y-o-y PAT growth, robust loan book expansion of 10.3% y-o-y, and continued improvement in asset quality with net NPA at 0.39%.

ICICI Bank Limited is one of India's largest private sector banks, offering a wide range of banking and financial services including retail banking, wholesale banking, treasury operations, and insurance through its subsidiaries. The bank operates an extensive network of 7,246 branches across metro, urban, semi-urban, and rural geographies as of September 30, 2025. Its diversified loan book is anchored by retail (52.1%), business banking (20.5%), domestic corporate (19.6%), and rural segments. The bank also has significant international operations through subsidiaries in the UK and Canada, and holds stakes in leading insurance and asset management companies.

RESULT HIGHLIGHTS

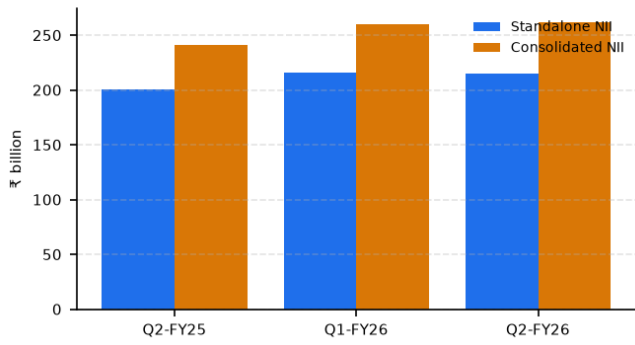
- Profit after tax grew 5.2% y-o-y to ₹123.59 bn in Q2-FY26 (Q2-FY25: ₹117.46 bn).
- Net interest income grew 7.4% y-o-y to ₹215.29 bn; net interest margin at 4.30% in Q2-FY26.
- Core operating profit grew 6.5% y-o-y to ₹170.78 bn; profit before tax (ex-treasury) up 9.1% y-o-y to ₹161.64 bn.
- Total advances grew 10.3% y-o-y to ₹14,084.56 bn; domestic loans up 10.6% y-o-y and 3.3% q-o-q.
- Business banking portfolio surged 24.8% y-o-y and 6.5% q-o-q to ₹2,909.21 bn.
- Total deposits grew 7.7% y-o-y to ₹16,128.25 bn; average deposits up 9.1% y-o-y.
- Gross NPA ratio improved to 1.58% (Sep 2025) from 1.97% (Sep 2024); net NPA ratio at 0.39%.
- Provisions declined sharply to ₹9.14 bn in Q2-FY26 from ₹18.15 bn in Q1-FY26.
- CET1 ratio (including H1-FY26 profits) at 16.35%; total capital adequacy ratio at 17.00%.
- Standalone return on average assets at 2.33%; return on equity at 16.0% for Q2-FY26.

COMPANY DATA

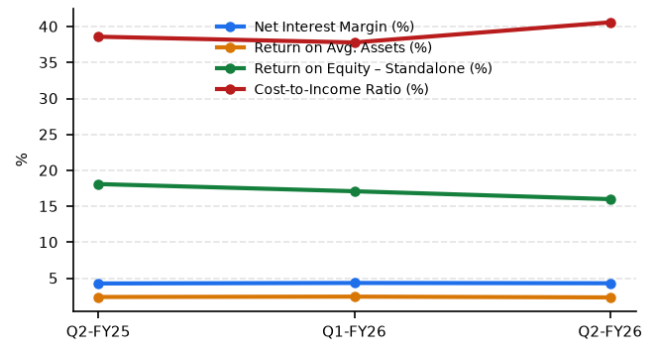
Book Value per Share (Standalone, ₹)	436.0
Book Value per Share (Consolidated, ₹)	458
Weighted Avg. EPS – Standalone (₹, Q2-FY26 annualised)	69.2
Weighted Avg. EPS – Consolidated (₹, Q2-FY26 annualised)	74.8
Equity Capital (₹ bn)	14.29
Total Standalone Assets (₹ bn)	21,362.71
Total Consolidated Assets (₹ bn)	26,864.85
Total Deposits (₹ bn)	16,128.25
Total Advances (₹ bn)	14,084.56
Net Worth – Standalone (₹ bn)	3,114.42
CET1 Ratio (incl. H1-FY26 profits)	16.35%
Total Capital Adequacy Ratio (incl. H1-FY26 profits)	17.00%
Gross NPA Ratio	1.58%
Net NPA Ratio	0.39%
Provision Coverage Ratio	75.0%
Net Interest Margin (Q2-FY26)	4.30%
Return on Average Assets (Q2-FY26, annualised)	2.33%
Return on Equity – Standalone (Q2-FY26, annualised)	16.0%
CASA Ratio (Period-end)	40.9%
Total Branches	7,246
Total ATMs and CRMs	10,610
Face Value (₹)	2

CHARTS

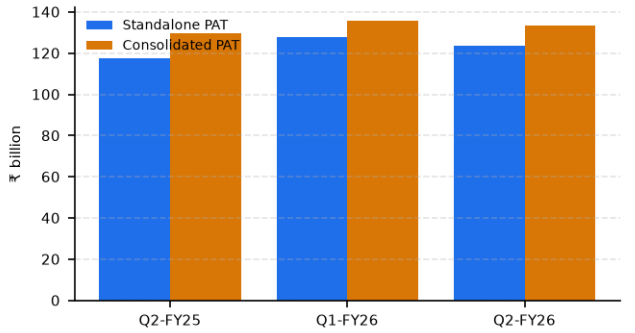
Net Interest Income - Quarterly Trend (₹ billion)



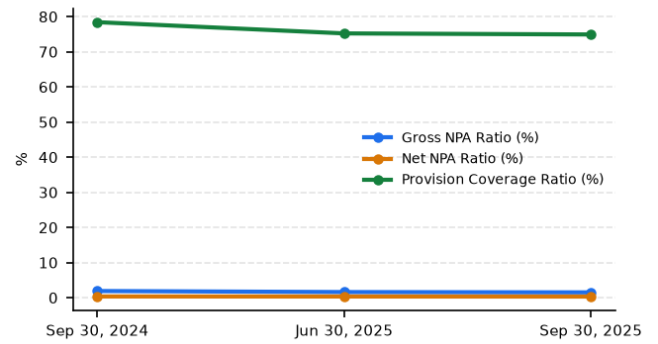
Profitability Metrics - Quarterly Trend



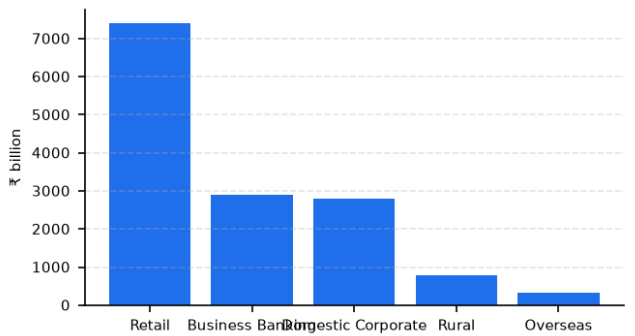
Standalone Profit After Tax - Quarterly Trend (₹ billion)



Asset Quality Trend



Loan Portfolio Composition at Sep 30, 2025 (₹ billion)



KEY HIGHLIGHTS

- Loan book quality continues to improve: gross NPA ratio fell to 1.58% and net NPA ratio to 0.39% at Sep 30, 2025, with provision coverage ratio at 75.0% and contingency provisions of ₹131.00 bn (1.6% of advances).
- Business banking is the fastest-growing segment at 24.8% y-o-y, driven by digital platforms (InstaBIZ, Merchant STACK, DigiEase) and branch network leverage; ~70% of portfolio by value has ticket size < ₹10 crore.
- Retail loan portfolio (₹7,393.84 bn) is well-diversified: mortgages (62.3%), personal loans (16.4%), vehicle loans (13.0%), and credit cards (8.0%); ~90% of mortgage customers have existing bank relationships.
- Cost of deposits declined meaningfully to 4.64% in Q2-FY26 from 4.88% in Q2-FY25, reflecting easing funding costs; yield on advances also moderated to 9.29% from 9.73%.
- Cost-to-income ratio rose to 40.6% in Q2-FY26 (Q2-FY25: 38.6%), driven by a 17.3% y-o-y increase in non-employee expenses, warranting monitoring.
- Corporate portfolio quality remains strong: 73.2% rated A- and above internally; BB and below at just 0.5%; top 20 borrowers represent only 6.7% of total exposure.
- Key subsidiaries performing well: ICICI Lombard PAT up 18.2% y-o-y to ₹8.20 bn; ICICI Prudential AMC PAT up 20.3% y-o-y to ₹8.35 bn in Q2-FY26.
- Consolidated PAT grew 3.2% y-o-y to ₹133.57 bn in Q2-FY26; consolidated total assets at ₹26,864.85 bn.
- CASA ratio (period-end) at 40.9% with savings deposits at ₹4,521.24 bn (+6.2% y-o-y) and current deposits at ₹2,067.47 bn (+12.9% y-o-y).
- Bank is on track for carbon neutrality by FY2032; CSR support for Tata Memorial Centre's cancer care facilities enhanced to over ₹18.00 bn.

FINANCIALS

Standalone Profit & Loss Statement (₹ billion)	FY2025	Q2-FY25	H1-FY25	Q1-FY26	Q2-FY26	H1-FY26
Net Interest Income	811.65	200.48	396.01	216.35	215.29	431.64
Non-Interest Income	266.03	64.96	128.85	72.64	73.56	146.20
- Fee Income	238.70	58.94	113.84	59.00	64.91	123.91
- Dividend Income from Subsidiaries	26.19	5.41	14.35	13.36	8.10	21.46
- Others	1.14	0.61	0.66	0.28	0.55	0.83
Core Operating Income	1,077.68	265.44	524.86	288.99	288.85	577.84
Operating Expenses	423.72	105.01	210.31	113.94	118.07	232.01
- Employee Expenses	165.41	41.36	85.07	47.43	43.42	90.85
- Non-Employee Expenses	258.31	63.65	125.24	66.51	74.65	141.16
Core Operating Profit	653.96	160.43	314.55	175.05	170.78	345.83
Core Operating Profit (ex-Dividend)	627.76	155.02	300.20	161.69	162.68	324.37
Provisions	46.83	12.33	25.65	18.15	9.14	27.29
Profit Before Tax (ex-Treasury)	607.13	148.10	288.90	156.90	161.64	318.54
Treasury Income	19.03	6.80	12.93	12.41	2.20	14.61
Profit Before Tax	626.16	154.90	301.83	169.31	163.84	333.15
Tax	153.89	37.44	73.78	41.63	40.25	81.88
Profit After Tax	472.27	117.46	228.05	127.68	123.59	251.27

Standalone Key Ratios (%)	FY2025	Q2-FY25	H1-FY25	Q1-FY26	Q2-FY26	H1-FY26
Net Interest Margin	4.32	4.27	4.31	4.34	4.30	4.32
Cost of Deposits	4.91	4.88	4.87	4.85	4.64	4.75
Cost-to-Income Ratio	38.6	38.6	39.1	37.8	40.6	39.2
Core Operating Profit / Avg. Assets	3.33	3.27	3.28	3.34	3.22	3.28
Provisions / Core Operating Profit	7.2	7.7	8.2	10.4	5.4	7.9
Provisions / Avg. Advances	0.36	0.38	0.41	0.53	0.26	0.40
Return on Average Assets	2.40	2.39	2.38	2.44	2.33	2.38
Return on Equity (Standalone)	17.9	18.1	18.1	17.1	16.0	16.6
Weighted Avg. EPS (₹)	67.0	66.2	64.7	71.6	69.2	70.4
Book Value per Share (₹)	410.1	368.3	368.3	429.3	436.0	436.0

Standalone Yield, Cost & Margin (%)	FY2025	Q2-FY25	H1-FY25	Q1-FY26	Q2-FY26	H1-FY26
Yield on Total Interest-Earning Assets	8.69	8.63	8.66	8.61	8.34	8.47
Yield on Advances	9.76	9.73	9.76	9.53	9.29	9.41
Cost of Funds	5.10	5.09	5.07	5.02	4.78	4.90
Cost of Deposits	4.91	4.88	4.87	4.85	4.64	4.75
Net Interest Margin	4.32	4.27	4.31	4.34	4.30	4.32
- Domestic NIM	4.40	4.34	4.39	4.40	4.37	4.39
- Overseas NIM	1.21	1.22	1.27	0.95	0.98	0.96

Standalone Balance Sheet – Liabilities (₹ billion)	Sep 30, 2024	Jun 30, 2025	Sep 30, 2025
Net Worth	2,595.40	3,063.21	3,114.42
- Equity Capital	14.09	14.27	14.29
- Reserves	2,581.31	3,048.94	3,100.13
Total Deposits	14,977.61	16,085.17	16,128.25
- Current Deposits	1,830.90	2,169.71	2,067.47

Standalone Balance Sheet – Liabilities (₹ billion)	Sep 30, 2024	Jun 30, 2025	Sep 30, 2025
- Savings Deposits	4,256.33	4,458.42	4,521.24
- Term Deposits	8,890.38	9,457.04	9,539.54
Borrowings	1,244.93	1,170.95	1,118.18
Other Liabilities	950.64	919.06	1,001.86
Total Liabilities	19,768.58	21,238.39	21,362.71

Standalone Balance Sheet – Assets (₹ billion)	Sep 30, 2024	Jun 30, 2025	Sep 30, 2025
Cash & Bank Balances	1,367.99	1,645.98	1,366.81
Investments	4,790.98	5,077.07	4,995.92
- SLR Investments	3,916.77	3,920.27	3,984.72
- Equity Investment in Subsidiaries	121.41	191.46	191.72
Advances	12,772.40	13,641.57	14,084.56
Fixed & Other Assets	837.21	873.77	915.42
Total Assets	19,768.58	21,238.39	21,362.71

NPA Trends (₹ billion)	Sep 30, 2024	Jun 30, 2025	Sep 30, 2025
Gross NPAs	271.21	247.33	238.50
Less: Cumulative Provisions	214.36	187.62	180.23
Net NPAs	56.85	59.71	58.27
Gross NPA Ratio	1.97%	1.67%	1.58%
Net NPA Ratio	0.42%	0.41%	0.39%
Provision Coverage Ratio	78.5%	75.3%	75.0%

Consolidated Profit & Loss Statement (₹ billion)	FY2025	Q2-FY25	H1-FY25	Q1-FY26	Q2-FY26	H1-FY26
Net Interest Income	973.04	241.00	475.60	259.90	261.63	521.53
Non-Interest Income	1,082.55	266.17	493.05	254.96	279.66	534.62
- Fee Income	322.25	80.80	156.33	79.94	86.60	166.54
- Premium Income	709.01	167.79	303.46	147.36	184.33	331.69
- Other Income	51.29	17.58	33.26	27.66	8.73	36.39
Total Income	2,055.59	507.17	968.65	514.86	541.29	1,056.15
Operating Expenses	1,278.00	308.39	589.10	301.69	341.55	643.24
Operating Profit	777.59	198.78	379.55	213.17	199.74	412.91
Provisions	49.06	13.82	26.98	18.22	9.10	27.32
Profit Before Tax	728.53	184.96	352.57	194.95	190.64	385.59
Tax	184.35	46.35	89.90	51.01	48.07	99.08
Share in Profit of Associates	1.51	0.45	1.02	0.63	0.61	1.24
Minority Interest	35.40	9.58	17.25	8.99	9.61	18.60
Profit After Tax	510.29	129.48	246.44	135.58	133.57	269.15

Unconsolidated Segment-wise PBT (₹ billion)	FY2025	Q2-FY25	H1-FY25	Q1-FY26	Q2-FY26	H1-FY26
Retail	216.21	55.56	97.95	47.35	63.18	110.53
Wholesale	215.64	51.98	101.10	53.87	57.60	111.47
Treasury	187.61	46.03	100.77	62.61	41.42	104.03
Others	6.70	1.33	2.01	5.48	1.64	7.12
Total PBT	626.16	154.90	301.83	169.31	163.84	333.15

Key Subsidiaries – Profit After Tax (₹ billion)	FY2025	Q2-FY25	H1-FY25	Q1-FY26	Q2-FY26	H1-FY26
ICICI Prudential Life Insurance	11.89	2.52	4.77	3.02	2.99	6.01

Key Subsidiaries – Profit After Tax (₹ billion)	FY2025	Q2-FY25	H1-FY25	Q1-FY26	Q2-FY26	H1-FY26
ICICI Lombard General Insurance	25.08	6.94	12.74	7.47	8.20	15.67
ICICI Prudential Asset Management	26.51	6.94	13.27	7.82	8.35	16.17
ICICI Securities (Consolidated)	19.42	5.29	10.56	3.91	4.25	8.16
ICICI Securities Primary Dealership	5.37	2.68	3.57	4.44	(0.32)	4.12
ICICI Home Finance	7.44	1.83	3.00	2.14	2.03	4.17
ICICI Venture	0.15	0.00	(0.01)	(0.01)	1.31	1.30

This report is based on the investor presentation filed by ICICI Bank Limited with BSE and NSE on October 18, 2025 for Q2-FY2026 results. The information contained herein is sourced solely from publicly available disclosures. This document is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. Investors should conduct their own due diligence before making any investment decisions.